

Amendment No. 1 to HB2548

Crawford
Signature of Sponsor

AMEND Senate Bill No. 2234*

House Bill No. 2548

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 12, Chapter 3, is amended by adding the following as a new part:

12-3-1301. Short title.

(a) This part is known and may be cited as the "Critical Infrastructure Protection Act."

(b) The purpose of this act is to ensure that critical technology infrastructure of this state is safe, secure, and free from influence and control by foreign adversaries.

12-3-1302. Part definitions.

As used in this part:

(1) "Covered list" means the list of communications equipment and services that are deemed to pose an unacceptable risk to the national security of the United States or the security and safety of United States persons published by the federal communications commission pursuant to 47 CFR Part 1, Subpart DD, as amended, transferred, or succeeded;

(2) "Finished good or service" means a technology product that has undergone all necessary manufacturing, assembly, and production processes and is ready for sale in its final, usable form;

(3) "Foreign adversary" means a foreign government or non-government entity designated by the United States department of commerce pursuant to 15 CFR Part 791, Subpart A, as amended, transferred, or succeeded;

(4) "Foreign adversary company":

(A) Means a company that:

(i) Is domiciled, incorporated, issued, or listed within a foreign adversary;

(ii) Is headquartered within a foreign adversary;

(iii) Has its principal place of business within a foreign adversary;

(iv) Is controlled by the government, or an instrumentality thereof, of a foreign adversary; or

(v) Is majority-owned or board-controlled by an entity that is under the jurisdictional control of the government of a foreign adversary; and

(B) Does not mean a parent company solely because one (1) or more subsidiaries or affiliates meet the definition of a foreign adversary company, if the parent company does not meet the criteria in subdivision (4)(A) and does not recognize more than fifty percent (50%) of the total annual global revenue of the parent company and subsidiaries from China and Hong Kong combined; and

(5) "Technology product" means:

(A) A computer information product, including computer equipment, routers, modems, tablets, hardware, software, telecommunications equipment, smart televisions, security related devices, data storage, and other related physical infrastructure; and

(B) Services related to the implementation, ongoing operation, or service or repair of such technology products, including cloud-based services; and

(6) "Technology supplier" means a person that provides finished goods or services.

12-3-1303. Technology supplier certification.

The chief procurement officer shall require a technology supplier that submits a response to a solicitation for a contract for finished goods or services, including contract renewals, to submit a sworn statement, under penalty of perjury, affirming that the supplier and, if applicable, any of its holding companies, affiliates, or subsidiaries is not:

- (1) A foreign adversary company;
- (2) Owned or controlled by a foreign adversary or domiciled in a foreign adversary country;
- (3) A subcontractor of a foreign adversary; or
- (4) Procuring a technology product included in the covered list as part of its response or that is a finished good or service produced by a company covered under subdivision (1), (2), or (3).

12-3-1304. Finished good or service limitation.

(a) State governmental entities shall not enter into contracts for finished goods or services with a technology supplier that is owned or controlled by a foreign adversary or domiciled in a foreign adversary country. State governmental entities shall not enter into contracts for technology products included in the covered list.

(b) A company shall not, as a third-party vendor, knowingly sell finished goods or services to a state agency if such finished good or service is manufactured or produced by a foreign adversary company. The restriction does not apply to finished goods or services which have inputs from a foreign adversary company but that are not finished goods or services of a foreign adversary company.

(c) A state agency shall require a company that submits a bid or proposal for a contract for finished goods or services to certify that the company is not a foreign

adversary company as described in subsection (a) and is not knowingly selling finished goods or services of a foreign adversary company to a state agency.

(d) This part does not apply to state contracts that contain a certification of compliance with the Secure and Trusted Communications Networks Act of 2019 (47 U.S.C. § 1601 et seq.).

(e) This part does not apply to contracts for finished goods or services produced by a foreign adversary or included in the covered list if the chief procurement officer determines that there is no reasonable alternative to procuring the finished goods or services. Such determination must be made in writing and included in the procurement file for the finished goods or services, and as prescribed by the rules, policies, and procedures of the procurement commission.

SECTION 2. Tennessee Code Annotated, Title 66, Chapter 2, is amended by adding the following as a new part:

66-2-401. Short title.

This part is known and may be cited as the "Protection of State Land from Foreign Adversaries Act."

66-2-402. Part definitions.

As used in this part:

(1) "Foreign adversary" means a foreign government or non-government entity designated by the United States department of commerce pursuant to 15 CFR Part 791, Subpart A, as amended, transferred, or succeeded;

(2) "State agency" means an agency, authority, board, commission, department, or office within the executive, legislative, or judicial branches of state government or an autonomous state agency, authority, board, commission, council, department, office, or institution of higher education;

(3) "State-owned real property" means any land, building, structure, easement, mineral right, air right, improvement, or other real estate interest owned, leased, or otherwise controlled by this state or a state agency; and

(4) "Transfer" means a sale, lease, assignment, license, easement, conveyance, or other disposition of an interest in real property, whether permanent or temporary, including those by operation of law, trust, or inheritance.

66-2-403. Prohibition of transfer to foreign adversaries.

(a) A state agency shall not transfer an interest in state-owned real property to:

(1) A foreign adversary;

(2) A legal entity that is organized under the laws of or has its principal place of business in a foreign adversary country;

(3) A legal entity that is directly or indirectly owned, controlled, or directed by a foreign adversary; or

(4) An agent, trustee, fiduciary, or intermediary acting on behalf of a foreign adversary or entity described in subdivisions (a)(1)-(3).

(b) Prior to a transfer of state-owned real property, the prospective transferee shall submit a sworn statement to the applicable state agency, under penalty of perjury, affirming that the anticipated transfer is not in violation of subsection (a).

(c) A transaction entered into in violation of this section is null and void and unenforceable.

66-2-404. Enforcement and penalties.

(a) The attorney general and reporter may:

(1) Investigate a suspected violation of this part;

(2) Issue subpoenas and compel the production of documents; and

(3) Initiate civil actions to enforce compliance or seek nullification of unlawful transactions.

(b) A person or entity that violates § 66-2-403(b) is subject to:

- (1) A civil penalty of up to two-hundred fifty thousand dollars (\$250,000) or twice the value of the transaction, whichever is greater;
- (2) Disqualification from participating in future state property transactions for a minimum period of five (5) years; and
- (3) Reimbursement of this state's enforcement costs, including attorneys' fees and investigation expenses.

(c) The attorney general and reporter may seek injunctive relief or other equitable remedies as necessary to enforce this part.

66-2-405. Exemptions.

This part does not apply to:

- (1) Transfers of state-owned real property expressly authorized or mandated by state or federal law or court order;
- (2) Transfers to entities that have received a valid waiver, license, or exemption from the United States secretary of commerce or another federal authority vested with such jurisdiction; or
- (3) Transfers involving state-owned real property necessary for national defense, homeland security, or critical infrastructure; provided, that:
 - (A) Approval is obtained from the appropriate federal agency; and
 - (B) Written approval is provided to the governor.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of this act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are declared to be severable.

SECTION 5. This act takes effect on July 1, 2026, the public welfare requiring it, and applies to contracts entered into, renewed, or amended on or after July 1, 2026.